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The call of courage, confidence and pride...

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REAL INVESTMENT

India has become the world's favourite destination for Foreign Direct Investment (FDI), thanks to the liberal norms and favourable economic policies initiated by the Government of India. As regards investment, foreign investors have found the real estate sector very appealing.

Ever since the central government amended the existing laws to allow cent per cent FDI in the construction business, all the real estate sectors — residential, commercial and retail — have been witnessing a huge growth. Of the total FDI inflow in the country, the real estate sector's share, which stood at 4.5 per cent in 2003-04, reached to a whopping figure of about 26.5 per cent in 2006-07.

Earlier, investment in the housing and the real estate sector was permitted only to Non Resident Indians (NRIs) and Persons of Indian Origin. It was only through a wholly owned subsidiary or a joint venture that foreign investors could have invested in the realty sector and that too in the development of integrated townships and settlement only. Although almost 100 per cent FDI was allowed in setting up townships, the 100 acre land criterion created trouble. The reason was that acquiring such a large piece of land is difficult in metropolitan cities.

But once the government realised this problem, it reduced the minimum land area for development by foreign investors to 25 acres in 2005. This opened the gates of Indian realty market for the global investors. Even the easing of FDI policy accelerated the construction activities.

With increasing income levels and easy availability of loans, the requirement of the finest residential properties is growing. According to some estimates, India would require a staggering US \$ 25 billion of

investment in the next five years in the housing sector alone. This provides an opportunity to the foreign investors in the realty sector.

Increasing FDI in the real estate sector is not only going to provide the much needed funds but also contribute towards organising the sector. As the investment pours in, the developers work towards meeting the world-class standards in building residential properties and integrated townships. This will call for professionalism and bringing in advanced technology. Thus, a healthy and competitive environment for the foreign investors would be created.



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